

KRPAN v. SLIGHT et al

20CV44854

REALTOR DEFENDANTS' MOTION FOR TERMINATING SANCTIONS AGAINST PLAINTIFFS

This is a civil action based on a residential real property transaction allegedly tainted by construction and undisclosed defects. Before the Court this day is a motion by the “realtor defendants” for a dismissal from plaintiffs’ operative pleading as a terminating sanction for their alleged failure to comply with this Court’s 12/17/21 order that plaintiffs provide “substantive, verified, objection-free responses” to form interrogatories, special interrogatories, and requests for production of documents. Although plaintiffs missed the stated deadline for doing so, counsel explains that he succumbed to COVID and was innocently delayed in serving what has now been served. He further points out that even a hint of a meet and confer would have revealed counsel’s plight. Further, in the interests of justice and judicial economy, the Court recognizes the basis upon which CCP 473 relief would ultimately be granted is contained in the responsive papers.

While the content of plaintiffs’ responses may be less than ideal, and is the subject of new motions set for hearing 03/18/22, this Court finds that plaintiffs have substantially complied with the 12/21/21 order – save for the motion involving RPDs. For that motion, this Court ordered not only written responses but also “the actual production of the requested documents” within the time allowed. Plaintiffs’ expression that they “will produce non-privileged responsive documents” is neither Code-complaint nor substantially compliant with this Court’s 12/21/21 order. However, terminating sanctions is a consequence too extreme – at this time.

Once a motion to compel is granted, a willful failure to adequately comply with an order may result in more elevated sanctions. (CCP §§ 2030.290(c), 2030.300(e); *Liberty Mut. Fire Ins. Co. v. LcL Administrators, Inc.* (2008) 163 Cal.App.4th 1093, 1102.) The discovery statutes evince an *incremental* approach to discovery sanctions, starting with monetary sanctions and potentially ending with the ultimate sanction of termination. (*Cedars–Sinai Medical Center v. Superior Court* (1998) 18 Cal.4th 1, 12.) The trial court has broad discretion in selecting which discovery sanction to impose in the face of discovery abuses, but either way California readily adheres to a “lesser sanction first” philosophy. (*Reedy v. Bussell* (2007) 148 Cal.App.4th 1272, 1293.) The sanction must be appropriate to the dereliction and not a windfall to the propounding party. (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 992.) A decision to order terminating sanctions should never be made lightly. (*Mileikowsky v. Tenet Healthsystem* (2005) 128 Cal.App.4th 262, 279–280; in accord, *Van Sickle v. Gilbert* (2011) 196 Cal.App.4th 1495, 1516.)

The motion for a terminating sanction is DENIED. Short of a terminating sanction, and since it reasonably appears that counsel's shortcomings are not willful, this Court concludes that defendants' request for \$1,450.00 in additional sanctions is reasonable. This is within the range of permissible sanctions under CCP §177.5. This order is made jointly against plaintiffs and their counsel of record, and must be paid in full within 20 days.

The Clerk shall provide notice of this Ruling to the parties forthwith. Defendants to prepare a formal Order for their respective motions pursuant to CRC 3.1312 in conformity with this ruling.

GOLD CREEK ESTATES v. VALLEY SPRINGS GOLD CREEK

17CV42103

DEFENDANTS' DEMURRER TO SECOND AMENDED COMPLAINT

This is a construction defect action involving allegations of negligent design and implementation of common areas within a condominium complex. Before the Court this day is a demurrer filed by defendants Valley Springs Gold Creek Inc, CRV Enterprises, Cleigh Voorhees (hereinafter "the Voorhees Defendants"), directed at the Second, Third, Fourth, Fifth, Eighth, Ninth and Tenth causes of action set forth in the operative Second Amended Complaint. The pleading is very challenging to navigate, due in large part to plaintiffs' reference to defendants by multiple code names.

With regard to the Second (nuisance), Fifth (fiduciary duty), and Tenth (implied warranty) causes of action, defendants contend that these common law claims are displaced (aka preempted) by the statutory Right to Repair Act. The California Supreme Court, in *McMillin Albany LLC v. Superior Court* (2018) 4 Cal.5th 241, held that the Right to Repair Act "was designed as a broad reform package that would substantially change existing law by displacing some common law claims and substituting in their stead a statutory cause of action with a mandatory prelitigation process ... claims seeking recovery for construction defect damages are subject to the Act's prelitigation procedures regardless of how they are pleaded." (*Id.* at 256, 259.) The Act provides a number of exceptions, and is not intended to displace the entire field; instead, it only preempts non-exempt claims falling within the scope of the Act. (*State Farm General Ins. Co. v. Oetiker, Inc.* (2020) 58 Cal.App.5th 940, 952-953; *Kohler Co. v. Superior Court* (2018) 29 Cal.App.5th 55, 71-72.) Those exceptions include breach of contract, fraud-based claims, statutory claims, personal injury, or class actions. (Civil Code §§ 931, 943.) Although nuisance can be a statutory claim, as pled here it is nothing more than construction defect. Fiduciary duty involves breach of a duty personal to the plaintiff, and in that instance requires something more than construction defect. If it can be pled at all, it is outside the scope of the Act. Implied warranty against the builder is just another name for construction defect. Demurrer to the Second and Tenth causes of action is SUSTAINED Without leave to amend. Demurrer to the Fifth cause of action is OVERRULED.

With regard to the Third (negligent misrepresentation), Fourth (intentional misrepresentation) and Eighth (fraudulent nondisclosure) causes of action, defendants contend that these are not adequately pled. These are fraud-based claims, and fraud-based claims must be pled with particularity rather than with general or conclusory allegations. This particularity requirement necessitates pleading facts which show how,